

Line 10

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF SANTA CLARA**

SERENITY MSO, LLC, a Georgia Limited
Liability Company; and REZA GHORIESHI, an
individual,

Plaintiffs,

v.

PALO ALTO MIND BODY, a California
Corporation; M RAMEEN GHORIESHI, MD,
MPH, an individual; and DOES 1-10,

Defendants.

Case No. 24CV432080

**ORDER GRANTING MOTION TO
COMPEL ARBITRATION**

Plaintiff's Serenity MSO, LLC's ("Serenity") motion to lift stay pursuant to Code of Civil Procedure section 1281.4 came on for hearing before the Court on June 12, 2025. Pursuant to California Rule of Court 3.1308, the Court issued its tentative ruling on June 11, 2025.

I. Background

This is a dispute between brothers. Plaintiff Reza Ghorieshi is the principal owner of plaintiff Serenity MSO, LLC, and Rameen is the CEO and principal owner of PAMB. Rameen provides psychiatric services through PAMB. In essence, Reza alleges his work funneled patients to his brother, first in his individual capacity and later through Serenity, and that his brother underpaid him for that work.

Defendants Reza, PAMB, and Insperity PEO Services, L.P. ("Insperity") entered an arbitration agreement when PAMB engaged with Insperity to provide payroll and human resource relation services to PAMB. The three-way agreement is entitled "Mutual Arbitration Agreement" and provides that Insperity, Reza, and PAMB "mutually agree to resolve by arbitration Covered Claims", which the agreement defines to include "(a) all claims or disputes related to or arising out of . . . my employment, or the termination of my employment with [PAMB], and (b) all claims that . . . [PAMB] may have against me, and/or (c) all claims that I may have against Covered Persons." "Covered Persons" are defined to include PAMB and "its officers, directors, employees, affiliates or agents." Serenity is not a party to this agreement.

By order dated September 21, 2024, the Court ordered Plaintiff Reza's claims to arbitration and stayed the rest of the case. Serenity now requests that the stay be lifted pursuant to Code of Civil Procedure Section 1281.4.

II. Legal Standard and Analysis

Code of Civil Procedure Section 1281.4 provides:

If a court of competent jurisdiction, whether in this State or not, has ordered arbitration of a controversy which is an issue involved in an action or proceeding pending before a court of this State, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding,

stay the action or proceeding until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.

If an application has been made to a court of competent jurisdiction, whether in this State or not, for an order to arbitrate a controversy which is an issue involved in an action or proceeding pending before a court of this State and such application is undetermined, the court in which such action or proceeding is pending shall, upon motion of a party to such action or proceeding, stay the action or proceeding until the application for an order to arbitrate is determined and, if arbitration of such controversy is ordered, until an arbitration is had in accordance with the order to arbitrate or until such earlier time as the court specifies.

If the issue which is the controversy subject to arbitration is severable, the stay may be with respect to that issue only. (Code Civ. Proc., § 1281.4.)

While Plaintiff presents its motion as one to lift the stay under this code section, it really reads as a motion for reconsideration. Motions for reconsideration are generally governed by Code of Civil Procedure section 1008, which represents the Legislature's attempt to regulate what the Supreme Court has referred to as "repetitive motions." (*Standard Microsystems Corp. v. Winbond Electronics Corp.* (2009) 179 Cal.App.4th 868, 885.) The legislative intent was to restrict motions for reconsideration to circumstances where a party offers the court some fact or circumstance not previously considered, and some valid reason for not offering it earlier. (*Gilberd v. AC Transit* (1995) 32 Cal.App.4th 1494, 1500; see *Baldwin v. Home Sav. Of America* (1997) 59 Cal.App.4th 1192, 1198.) The burden under Section 1008 "is comparable to that of a party seeking a new trial on the ground of newly discovered evidence: the information must be such that the moving party could not, with reasonable diligence, have discovered or produced it at the trial." (*New York Times Co. v. Superior Court* (2005) 135 Cal.App.4th 206, 212-213.)

Code of Civil Procedure section 1008 (c) further provides that if the court "at any time determines that there has been a change of law that warrants it to reconsider a prior order it entered, it may do so on its own motion." (*Farmers Ins. Exch. v. Sup. Ct.* (2001) 218 Cal.App.4th 96,

106-07.) There is no time limitation on this inherent power; the court may change interim orders based on a change of law at any time before final judgment is entered. (*Blake v. Ecker* (2001) 93 Cal.App.4th 728, 739.) In considering whether to reconsider a prior order, the court should examine the extent of preparation in the case, the proximity of a trial date, and “the materiality of the change in the law and the potential for prejudice to any of the parties.” (*Phillips v. Sprint PCS* (2012) 209 Cal. App. 4th 758, 769.)

The Court is not persuaded by Plaintiff’s arguments. However, the Court is considering the interplay between Code of Civil Procedure section 1281.2 (c) the FAA, and the CAA in another matter, and that same issue is relevant here. Specifically, where an arbitration agreement indicates that California law applies, the fact that an arbitration agreement is governed by the FAA does not necessarily preclude application of section 1281.2(c). As explained in *Cronus Investments, Inc. v. Concierge Services* (2005) 35 Cal.4th 376, 380:

Code of Civil Procedure section 1281.2, subdivision (c) permits a trial court, under specified circumstances, to stay arbitration pending the outcome of related litigation. In *Volt Info. Sciences v. Leland Stanford Jr. U.* (1989) 489 U.S. 468 [103 L. Ed. 2d 488, 109 S. Ct. 1248] (*Volt*), the United States Supreme Court held that the Federal Arbitration Act (FAA), 9 United States Code section 1 et seq., which applies to and favors the enforcement of arbitration agreements affecting interstate commerce, does not preempt the application of section 1281.2, subdivision (c) where the parties have agreed that their arbitration agreement would be governed by the law of California. In this case, the parties agreed that their arbitration agreement would be governed by California law, but they further agreed that the designation of California law “shall not be deemed an election to preclude application of the [FAA], if it would be applicable.” As explained below, we conclude that, in this situation, the FAA also does not preempt the application of section 1281.2, subdivision (c).

The Court therefore invites the parties to appear at the hearing and provide further argument regarding the application of *Gloster v. Sonic Automotive, Inc.* (2014) 226 Cal. App. 4th 438, 449;

Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 386; *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110; and *Victrola 89, LLC v. Jaman Properties 8 LLC* (2020) 46 Cal.App.5th 337.

IT IS SO ORDERED.

Date: _____

The Honorable Evette D. Pennypacker
Judge of the Superior Court